

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

ICL USA, INC., *Complainant*

v.

DOCKET NO. 24-04

DEPENDABLE HIGHWAY EXPRESS, INC. AND
MEDITERRANEAN SHIPPING COMPANY, (USA) INC., ON
BEHALF OF MEDITERRANEAN SHIPPING COMPANY, S.A.,
Respondents.

Served: October 3, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING RESPONDENT’S PETITION FOR ATTORNEY FEES¹

I. INTRODUCTION

A. Overview

On August 30, 2024, Respondent Dependable Highway Express, Inc. (“DHE” or “Dependable”) filed a Petition for Attorneys’ Fees (“Petition”). On September 5, 2024, Complainant ICL USA, Inc. (“ICL”) filed a letter in opposition to DHE’s Petition (“Opposition”). For the reasons discussed below, DHE’s petition is denied.

B. Procedural History

This proceeding began on December 28, 2023, when ICL filed a complaint alleging violations of the Shipping Act by DHE and another Respondent, Mediterranean Shipping Company, (USA) Inc., on behalf of Mediterranean Shipping Company, S.A. (“MSC”). On January 12, 2024, the Commission issued a notice of filing of complaint and assignment. On January 18, 2024, an order designating Administrative Law Judge and initial order were issued.

On February 5, 2024, Respondent DHE filed a motion to dismiss the complaint on behalf of itself, which ICL opposed. On March 15, 2024, an order was issued denying DHE’s motion to dismiss and ruling on a motion regarding MSC. After receiving input from the parties, on April 22, 2024, a scheduling order was issued. Discovery commenced.

¹ This order will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service of this order. 46 C.F.R. § 502.254(h).

On August 5, 2024, ICL, DHE, and MSC filed a stipulation of dismissal pursuant to 46 C.F.R. § 502.72(a)(2). On August 12, 2024, the Commission's Secretary issued a notice of voluntary dismissal discontinuing the proceeding.

C. Arguments of the Parties

DHE contends that the petition is timely; it is the prevailing party; and it is entitled to attorney fees because ICL had an improper motive in commencing this proceeding and the complaint and filings were devoid of legal and factual bases to support allegations of certain violations. Petition at 4-14.

ICL asserts that the petition was not properly filed; the Secretary's notice of voluntary dismissal was not a final decision for purposes of the attorney fee provision; DHE was not a prevailing party; DHE is attempting to relitigate its motion to dismiss; the facts do not support the petition; and the petition should be disregarded. Opposition at 2-6.

D. Burden of Proof

The successful party in a private party complaint proceeding under 46 U.S.C. § 41301 may petition for an award of attorney fees after the decision becomes administratively final. 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254(a). The burden is on the applicant to prove that it is eligible and entitled to attorney fees. *See Hensley v. Eckerhart*, 461 U.S. 424, 437 (1983) (explaining that "the fee applicant bears the burden of establishing entitlement to an award."). The petition must include evidence to support the reasonableness of the rates claimed and specific documentation of hours worked at each identifiable stage of the proceeding. 46 C.F.R. § 502.254(d); *see Blum v. Stenson*, 465 U.S. 886, 895 n.11 (1984) ("[C]ourts properly have required prevailing attorneys to justify the reasonableness of the requested rate or rates."). Here, Respondent DHE, which filed the petition, has the burden of proof. The standard of proof is preponderance of the evidence. *Logfret, Inc. v. Kirsha, B.V.*, FMC Docket No. 18-10, 2 F.M.C.2d 110, 113 (F.M.C. June 22, 2020). Pursuant to Rule 254(h), appeals of orders awarding attorney fees are governed by the rules at 46 C.F.R. § 227. 46 C.F.R. § 502.254(h).

II. DISCUSSION

A. Filings

The petition was properly served on the Commission's Office of the Secretary by email. The Office of the Secretary receives filings for both the Office of Administrative Law Judges and the Commission and provides the filings to the proper offices. 46 C.F.R. § 502.2. While the initial order requires parties to send courtesy copies of filings to the Office of Administrative Law Judges, failure to do so does not invalidate the filings. In addition, the petition was timely as it was filed within thirty days of the notice of voluntary dismissal. Therefore, the filing of the petition was proper.

The opposition was filed in a letter format which is not permitted. Initial Order at 4. However, to expedite resolution of this proceeding, the opposition will be accepted as submitted.

B. Eligibility for Attorney Fees

1. Definition of Decision

The Commission amended its Rules and Regulations governing the award of attorney fees to implement the statutory amendments made by the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-282, § 402, 128 Stat. 3022 (Dec. 18, 2014); see Docket No. 15-06.

Section 502.254 provides in relevant part:

(a) *General.* In any complaint proceeding brought under 46 U.S.C. 41301... the Commission may, upon petition, award the prevailing party reasonable attorney fees.

(b) *Definitions.*

Attorney fees means the fair market value of the services of any person permitted to appear and practice before the Commission in accordance with subpart B of this part.

Decision means:

- (1) An initial decision or dismissal order issued by an administrative law judge;
- (2) A final decision issued by a small claims officer; or
- (3) A final decision issued by the Commission.

46 C.F.R. § 502.254.

The Commission conducts a two-step inquiry in determining whether to award fees. First, the Commission considers whether a petitioner is eligible for fees, that is, whether it is a “prevailing party.” If the answer is yes, the Commission considers whether it should award fees to the petitioner. *Logfret*, 2 F.M.C.2d at 113. A party is the prevailing party if there has been a “material alteration of the legal relationship to the parties in a manner which Congress sought to promote in the fee statute.” Final Rule: Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508, 10512 (Mar. 1, 2016) (citing *Tex. State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)). A respondent is the prevailing party “when the complainant’s challenge is rebuffed ‘irrespective of the precise reason for the court’s decision.’” *Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 2017 WL 4924883 at *9 (FMC Oct. 25, 2017) (citing *CRST Van Expedited, Inc. v. EEOC*, 578 U.S. 419, 431 (2016)). A complainant is generally the prevailing party if the presiding officer awards damages, an injunction, or “at least some relief on the merits.” Final Rule, 81 Fed. Reg. at 10512 (quoting *Farrar v. Hobby*, 506 U.S. 103, 111 (1992)).

In the instant proceeding, the parties filed a joint stipulation of dismissal, signed by counsel for all parties. The stipulation was filed pursuant to Rule 72(a)(2), which states:

(2) By stipulation of the parties. The parties may dismiss an action at any point *without an order from the presiding officer* by filing a stipulation of dismissal signed by all parties who have appeared. In the stipulation the parties must certify that no settlement on the merits was reached. Unless the stipulation states otherwise, the dismissal is without prejudice.

46 C.F.R. § 502.72(a)(2) (emphasis added). In contrast, Rule 72(a)(3) permits voluntary dismissal by the presiding officer.

Here, the dismissal was issued by the Commission’s Secretary in a “Notice of Voluntary Dismissal” which stated in its entirety:

On August 5, 2024, Complainant ICL USA, Inc. and Respondents Dependable Highway Express, Inc. and Mediterranean Shipping Company, (USA) Inc., on behalf of Mediterranean Shipping Company, S.A., filed a stipulation of dismissal with prejudice of the complaint in accordance with 46 C.F.R. § 502.72(a)(2). Therefore, the above-captioned proceeding is discontinued.

Notice of Voluntary Dismissal at 1.

The Secretary’s notice of voluntary dismissal does not meet the Commission Rule 254 definition of a “Decision” as it was not (1) an initial decision or dismissal order issued by an administrative law judge; (2) a final decision issued by a small claims officer; or (3) a final decision issued by the Commission. 46 C.F.R. § 502.254. Indeed, the dismissal was not issued by a presiding officer. Moreover, the dismissal was requested by all of the parties.

Because the notice of voluntary dismissal does not meet the Rule 254 definition of a decision, DHE is not eligible for attorney’s fees under the Commission’s rules. However, this issue has not previously been addressed by the Commission. Therefore, the other factors will be discussed, including whether DHE was a prevailing party and whether DHE is entitled to attorney fees.

2. Prevailing Party

While some cases find that dismissal with prejudice may be a “material alteration of the legal relationship of the parties” sufficient to support attorney fees, other cases find that the “with prejudice” determination is not controlling. *See* 66 A.L.R.3d 1087 (summarizing cases). The Commission Statement on Attorney Fees states:

Generally, a complainant is a prevailing party *if the presiding officer (Administrative Law Judge or Commission) awards the complainant reparations or issues a cease-and-desist order*. A respondent is generally a prevailing party when the presiding officer rebuffs a complainant’s claims. For instance, *a respondent prevails if the presiding officer grants the respondent’s motion to*

dismiss with prejudice or *grants the complainant's request for voluntary dismissal with prejudice.*

Commission Statement on Attorney Fees, Docket No. 21-14, 3 F.M.C. 2d at 196-97 (FMC Dec. 28, 2021) (emphasis added) (citations omitted). Here, it was not a “presiding officer (Administrative Law Judge or Commission)” who granted the request for voluntary dismissal. Therefore, it appears that this statement is not applicable to dismissals by stipulation under Commission Rule 72(a)(2) but rather those by order of the presiding officer under Rule 72(a)(3). Therefore, this Commission statement does not require finding that a voluntary dismissal by stipulation of the parties makes the respondent a prevailing party.

The Supreme Court has held that the term “prevailing party” does not include “a party that has failed to secure a judgment on the merits or a court-ordered consent decree, but has nonetheless achieved the desired result because the lawsuit brought about a voluntary change in the defendant’s conduct.” *Buckhannon Bd. & Care Home, Inc. v. West Virginia Dep’t of Health & Human Res.*, 532 U.S. 598, 600 (2001). The DC Circuit utilizes a three-part test to determine whether an entity is a prevailing party: “(1) there must be a ‘court-ordered change in the legal relationship’ of the parties; (2) the judgment must be in favor of the party seeking the fees; and (3) the judicial pronouncement must be accompanied by judicial relief.” *District of Columbia v. Straus*, 590 F.3d 898, 901 (D.C. Cir. 2010) (quoting *Thomas v. Nat’l Sci. Found.*, 330 F.3d 486, 492–93 (D.C. Cir. 2003)).

A party who is only partially successful also can be deemed a prevailing party. Consequently, a claimant who has obtained some relief usually will be regarded as the prevailing party even though the party has not sustained all his claims. In some cases of this type, however, the court will apportion costs among the parties or reduce the size of the prevailing party’s award to reflect the partial success.

§ 2667 Award of Costs to the Prevailing Party, 10 Fed. Prac. & Proc. Civ. § 2667 (4th ed.) (footnote omitted).

Because the Secretary’s notice of voluntary dismissal was with prejudice, there was a change in the legal relationship. Because the voluntary dismissal prevents ICL from bringing the same claim to the Commission in the future, the dismissal was in favor of the Respondents. As discussed above, it was not clear that the voluntary dismissal was a “judicial pronouncement,” as it was not issued by the presiding officer, however, because the dismissal was “with prejudice,” it could be considered judicial relief. Therefore, if the dismissal counts as a “decision,” Respondents could be considered prevailing parties.

C. Entitlement to Attorney Fees

Even if the dismissal were considered to be a decision and DHE viewed as the prevailing party, under Commission precedent, DHE would not be entitled to attorney fees under Commission precedent.

To determine entitlement to attorney fees, the Commission’s primary consideration is “whether such an award is consistent with the purposes of the Shipping Act.” Final Rule, 81 Fed. Reg. at 10515. There is not a general presumption for or against awarding attorney fees, and “parties should be encouraged to litigate meritorious claims and defenses.” *Id.* The Commission considers the factors recommended in *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994) as a helpful guide in deciding entitlement. See *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Docket No. 14-04, 2016 WL 5110081 at *5 (FMC Sept. 14, 2016). These factors include “frivolousness, motivation, objective unreasonableness (both in the factual and legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence.” *Fogerty*, 510 U.S. at 534 n.19 (citing *Lieb v. Topstone Industries, Inc.*, 788 F.2d 151, 156 (1986)). The Commission may consider additional factors depending on the issues raised in a specific case. Commission Statement on Attorney Fees, 3 F.M.C.2d 195, 198 n.22.

In *Edaf*, the Commission reasoned that because the complainant failed to prosecute its claim by becoming increasingly unresponsive, awarding attorney fees would further the purposes of the Shipping Act:

Complainant failed to substantiate the legal and factual components of its case, knowingly disregarded the ALJ’s orders on numerous occasions, abandoned its claim, forced multiple [r]espondents to expend significant resources of both time and money in their defense, and perhaps most egregiously, failed to terminate the claim when it could have limited the expenses of the [r]espondents.

2016 WL 5110081, at *5.

In *Baltic Auto*, the Commission denied attorney fees in a case that was dismissed on statute of limitations grounds and therefore did not reach the merits of the claim. The Commission found that the Complainant in *Baltic Auto* “had a colorable argument that its claim arose within the statute of limitations and that the claim was not objectively unreasonable.” *Baltic Auto*, 2017 WL 4924883, at *12.

This case is more like *Baltic Auto* than *Edaf*. Here, the parties did not brief the case and no decision was issued on the merits. The only decision issued denied DHE’s motion to dismiss the complaint, which raised similar issues as those raised in the petition.

The stipulation agreed upon by the parties states that the case was “initiated because facts were in dispute regarding certain payments, refunds, and amounts of money being owed among the Parties.” Stipulation of Dismissal at ¶ 1. “Between December 2021 and March 2022 DHE paid the amount of \$142,385 in per diem charges to MSC.” *Id.* at ¶ 2. “ICL obtained waivers of the per diem charges from MSC” and DHE requested refunds from MSC for \$142,385 for the ICL charges. *Id.* at ¶ 3-4. On November 10, 2023, MSC issued a check in the amount of \$147,415.00 as a single cash payment. *Id.* at ¶ 5. Part of this MSC check was a refund by MSC to DHE in the amount of \$117,235 for per diem charges related to ICL. *Id.* at ¶ 6.

“Following the filing of the Complaint in this matter, MSC further agreed to refund the additional amount of \$13,795 of ICL per diem charges to DHE.” *Id.* at ¶ 7. On June 3, 2024,

DHE confirmed “a total receipt of \$131,030 in ICL related per diem charges initially paid by DHE to MSC and refunded by MSC to DHE.” *Id.* at ¶ 9. “ICL agrees with MSC’s assessment that the remaining amount of \$11,355 constitute valid charges which need to be refunded to DHE by ICL, as this amount was not waived by MSC.” *Id.* at ¶ 11. The parties agree that the stipulation has no effect on DHE’s rights to pursue its claim against ICL for payment of \$11,355 in per diem charges. *Id.* at ¶ 13. “In view of the stipulations herein relating to refunds paid by MSC to DHE related to the waivers applicable to MSC alleged in the Complaint in the total amount of \$131,030, ICL voluntarily dismisses, with prejudice, the Respondents on all counts.” *Id.* at ¶ 14.

Thus, it appears that the dispute was focused on \$142,385 in payments that DHE made to MSC and which DHE was seeking from ICL. During the course of the proceeding, the parties determined that MSC refunded \$117,235 in ICL charges to DHE prior to the filing of the complaint; MSC agreed to further refund \$13,795 in ICL charges to DHE; and ICL agreed that \$11,355 were valid charges that ICL needed to pay to DHE. The amount that ICL agreed to pay Respondents (\$11,355) is significantly less than the amount that the Respondents agreed were not due from ICL (\$131,030). Therefore, ICL substantially obtained the relief it was seeking when it filed the complaint.

DHE asserts that “ICL stipulated to dismiss this proceeding without obtaining the cease and desist order it sought;” the “sole purpose in initiating this proceeding was as a litigation tactic to delay DHE’s federal court action;” and ICL’s “lack of factual or legal support for its objectively unreasonable allegations warrant an award of attorneys’ fees here.” Petition at 3.

In its complaint, ICL acknowledged that “generally it is contractually liable for the per diem amounts paid by DHE to ocean carriers and/or terminals related to per diem for shipments which were not waived by the ocean common carriers.” Complaint at 5. ICL sought cease and desist orders from both Respondents regarding per diem funds which were entitled to waivers or which had been refunded. Complaint at 16.

The order denying DHE’s motion to dismiss stated:

[A]ny refunds from MSC for charges in violation of the Shipping Act may be paid to Dependable and ICL’s desire to keep Dependable in the proceeding suggests that Dependable may not have passed those reimbursements on to ICL. Clearly the facts are disputed, and it is not clear that the parties know who has paid what fees. Discovery will help clarify the factual record which will in turn help to clarify the role played by Dependable in these transactions.

Order on Dependable’s Motion to Dismiss and ICL’s Notice of Dismissal at 6.

In the stipulation, the parties agreed that MSC refunded \$117,235 in ICL charges to DHE prior to the filing of the complaint and while the complaint was pending, MSC agreed to further refund \$13,795 in ICL charges to DHE. These facts undermine DHE’s arguments regarding the relief obtained, purpose of the proceeding, and factual or legal support. ICL properly prosecuted the proceeding and once it obtained stipulations that clarified the status, amounts, and dates of

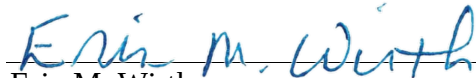
MSC refunds to DHE, ICL agreed to dismiss the complaint. DHE has not established that ICL's attorney fees are justified by frivolousness, motivation, objective unreasonableness (both in the factual and legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence. Therefore, even if DHE is eligible for attorney fees, it would not be entitled to receive them.

For the reasons discussed above and in the order denying DHE's motion to dismiss, DHE has not established that attorney fees are appropriate under Commission Rule 254 as the Secretary's notice of voluntary dismissal was not a decision. Even if DHE were eligible for attorney fees, DHE has not established that it would be entitled to attorney fees.

III. ORDER

Upon consideration of the record herein, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that DHE's Petition for Attorney Fees be **DENIED**.


Erin M. Wirth
Chief Administrative Law Judge